

Telco Customer Churn Analysis

The Problem This dataset was selected because it directly flags churned customers, making it well-suited for retention analysis. With a churn rate of 26.54% across 7,043 customers, approximately 1,869 customers have already left. For any subscription-based business, this is not a marginal issue, it is a revenue and growth problem that demands attention.

What the Data Says: Three patterns emerge clearly from the analysis:

- Month-to-month contract customers churn at the highest rate, with no long-term commitment acting as a barrier to leaving
- Fiber optic customers account for 41.89% of churn despite being on a premium, higher-priced service
- Customers paying by electronic check churn at 45.29%, significantly higher than any other payment method
- The average customer tenure sits at 32.37 months, with churn concentrated heavily in the first 12 months

What's Actually Going On: In a market saturated with subscription platforms, switching costs are low and customer patience is lower. The fiber optic finding is particularly telling that these are customers paying a premium price who are still choosing to leave, which points to a perceived value or service quality gap rather than a pricing issue. The electronic check pattern suggests a segment of low-commitment customers who were never fully embedded in the product to begin with.

What the Business Should Do:

- Incentivize month-to-month customers to move to annual contracts with a meaningful offer, not a token discount
- Conduct targeted research into the fiber optic customer experience before investing further in acquiring that segment
- Run a payment method migration campaign for electronic check users — automatic payment reduces friction and correlates strongly with retention
- Build a structured onboarding programme focused on the first 12 months, which is the highest-risk window for churn